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30693
FINANCIAL ACCOUNTING – MODULE 2

Sustainability Reporting

Academic Year 2025/2026

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Learning objectives

1. What is the scope of corporate communication? Why is non-financial information relevant for FSA?
2. Corporate social responsibilities (CSR) & stakeholders
3. Corporate sustainability & Environmental, Social, and Governance (ESG)
4. ESG/sustainability reporting – Should it be regulated?
5. Corporate Sustainability Reporting Directive (CSRD) in the EU
6. Conclusion

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1. What is the scope of corporate communication? Why is it relevant for FSA?

The Scope of Corporate Communication

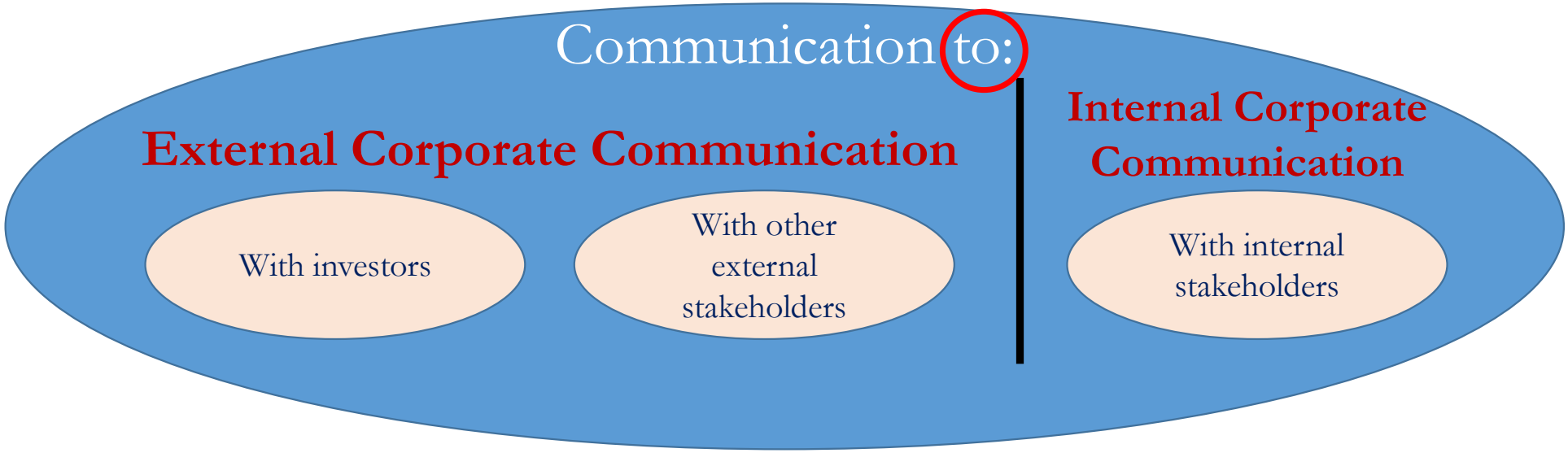
- So far, you have learned about the amazing tools of FSA and multiples. You are becoming experts in analyzing accounting numbers and valuing a company!

- Is accounting only about numbers?
  - Accounting is the language of business and a primary form of corporate communication.

- In reality, **companies also provide a wide range of communication to facilitate accounting numbers, including non-financial information on sustainability-related topics**. For example:
  - Carbon emissions and other environmental impacts,
  - Supply chain partners and relationships,
  - Contributions to the society and donations to NGOs,
  - Etc.

Are those non-financial disclosures also relevant for corporate valuations?

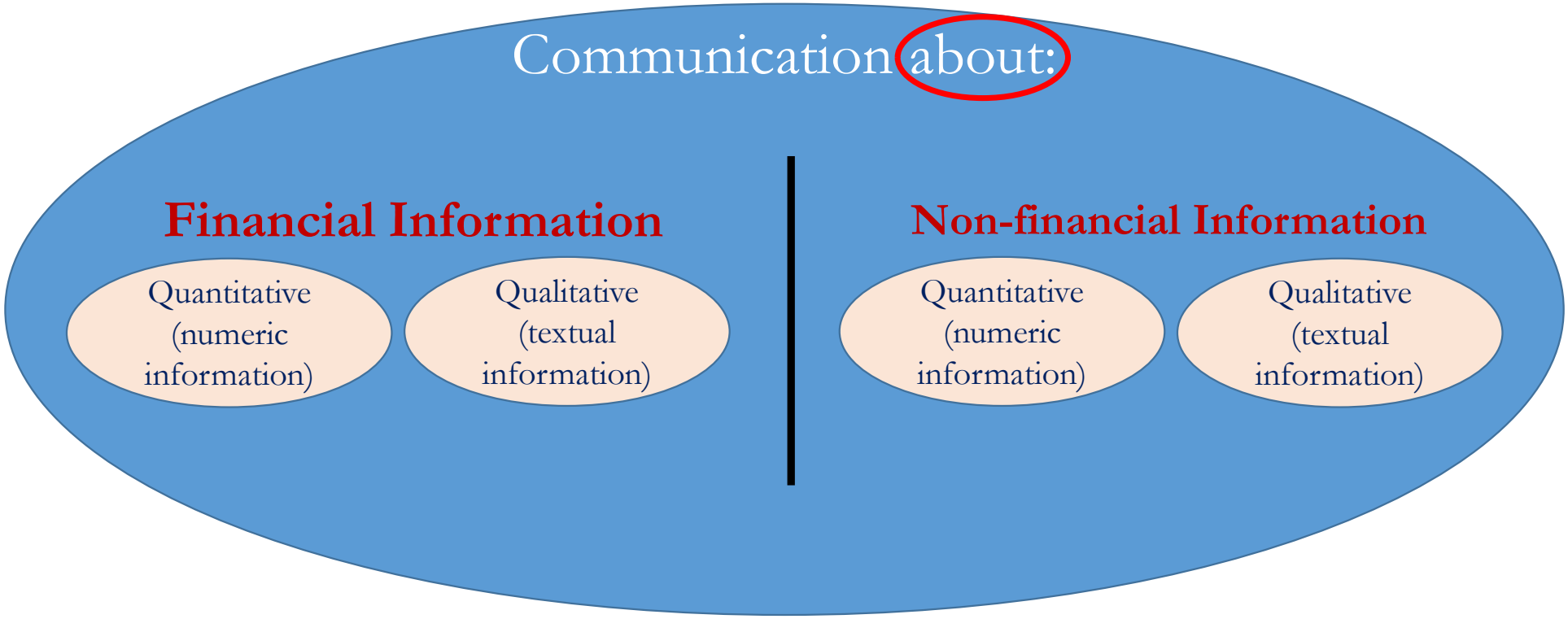
The Scope of Corporate Communication



We have been focusing on how companies report financial information. How investors and managers can analyze financial information with FSA to make (good) investment decisions.

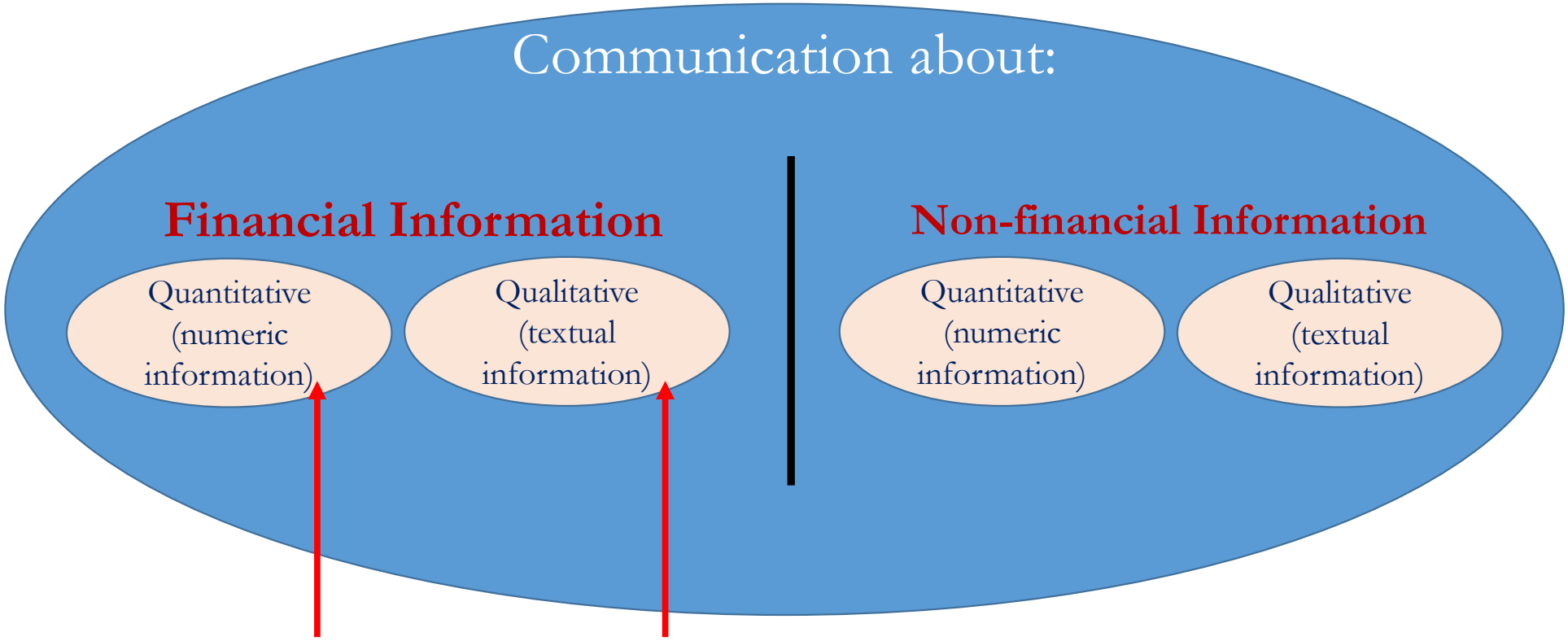
What about other types of information that companies communicate?

The Scope of Corporate Communication



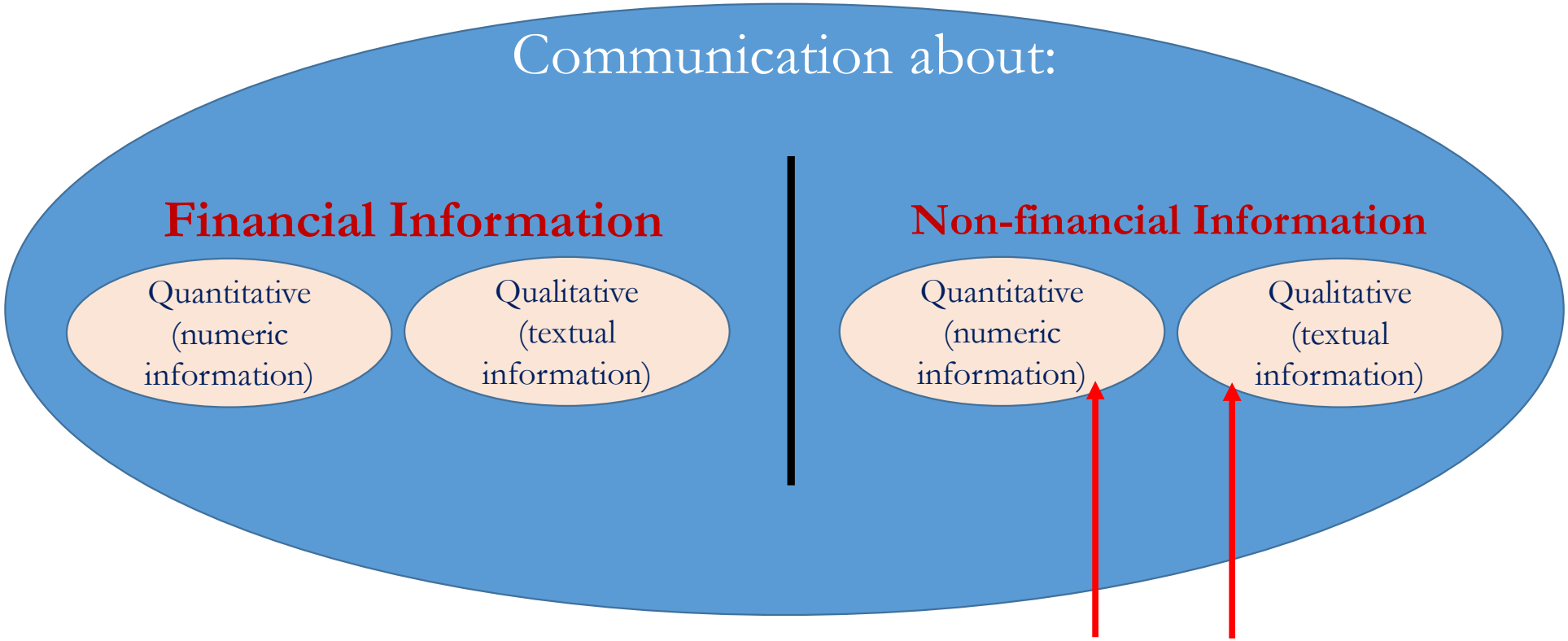
In reality, many companies provide a wide-range of financial & non-financial information. Such information can be either quantitative (in numbers) or qualitative (in narratives).

The Scope of Corporate Communication



In FSA, you learned how to utilize both quantitative and qualitative financial information to assess and forecast a company's performance and value.

The Scope of Corporate Communication



What about non-financial information from companies? Why does it exist? Who are the information users? Is it important?

Non-financial Information and Corporate Valuation

- The ultimate question: Can the company generate sustainable growth and profitability over the long-term?
  - ➔ Long-term value creation.

- **Many companies use non-financial communication and sustainability reporting to provide a comprehensive view on their long-term strategic planning, corporate vision, and sustainability.**
  - This disclosure practice has become more and more popular in recent years due to demand for non-financial information and company sustainability performance.

- Let's explore together!

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2. Corporate social responsibilities (CSR) & Stakeholders

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Purpose and responsibility of corporations

- What is the purpose of a company?

- Traditional/conventional (old) theory:
  - The primary goal for a company is to **earn profit and to increase the wealth of its owners** (i.e. shareholders) by paying dividends and/or increasing the stock price.

  ➔ Shareholder value maximization.

  ➔ The company and its managers are only responsible for shareholders.

Purpose and responsibility of corporations (cont.)

The Social Responsibility of Business is to Increase its Profits

Milton Friedman

The New York Times Magazine

September 13, 1970

American economist who received the 1976 Nobel Prize in Economic Sciences

- "There is one and only one social responsibility of business -- to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game, which is to say, engages in open and free competition without deception or fraud."
- Do you agree?

Article link

Corporate social responsibility (CSR)

- This view that companies are only responsible for making profits and for increasing shareholders' wealth has been widely challenged.

- CSR:
  - **Business practices that incorporate sustainability into a company's business model to generate positive impacts on society, environment, and other various stakeholders of the business** (Schooley, 2019).
  - Integration of social and environmental concerns in their business operations and interactions with their stakeholders (Commission of the European Communities, 2001).

Stakeholder

- Stakeholder:
  - A member of "groups without whose support the organization would cease to exist" (Bowie, 1988, 112).

Stakeholder: Examples

- Customers: They buy products. Companies need to ensure the quality and safety of products.

- Employees: They engage in company operations. Companies need to protect employees' rights.

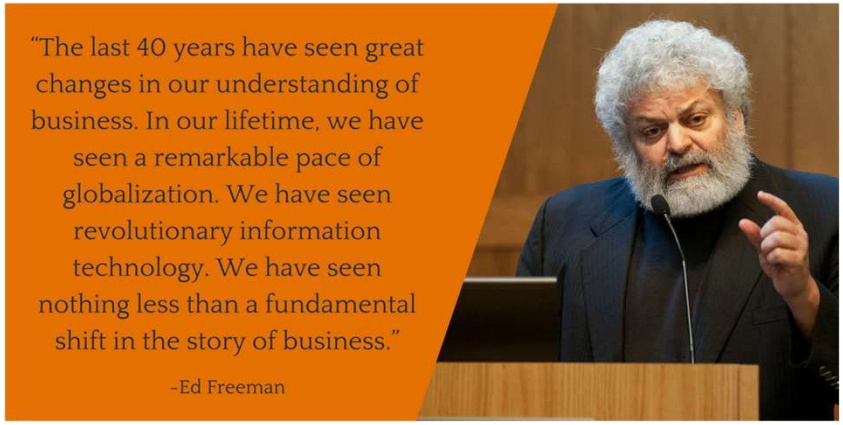
- Society and community: Companies exist in the society and local communities.

- The environment: Company operations can have impacts on the environment.

…… And other stakeholders depending on the nature of the company.

Stakeholder theory

- Stakeholder theory:
  - Proposed by Edward Freeman in the 1980s.
  - A view of capitalism that stresses the interconnected relationships between a business and its customers, suppliers, employees, investors, communities and others who have a stake in the organization.
  - **A firm should create value for all stakeholders, not just shareholders.**
  - Shareholders are merely one of many stakeholders of a company.



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3. Corporate sustainability & Environmental, Social, and Governance (ESG)

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What is corporate sustainability?

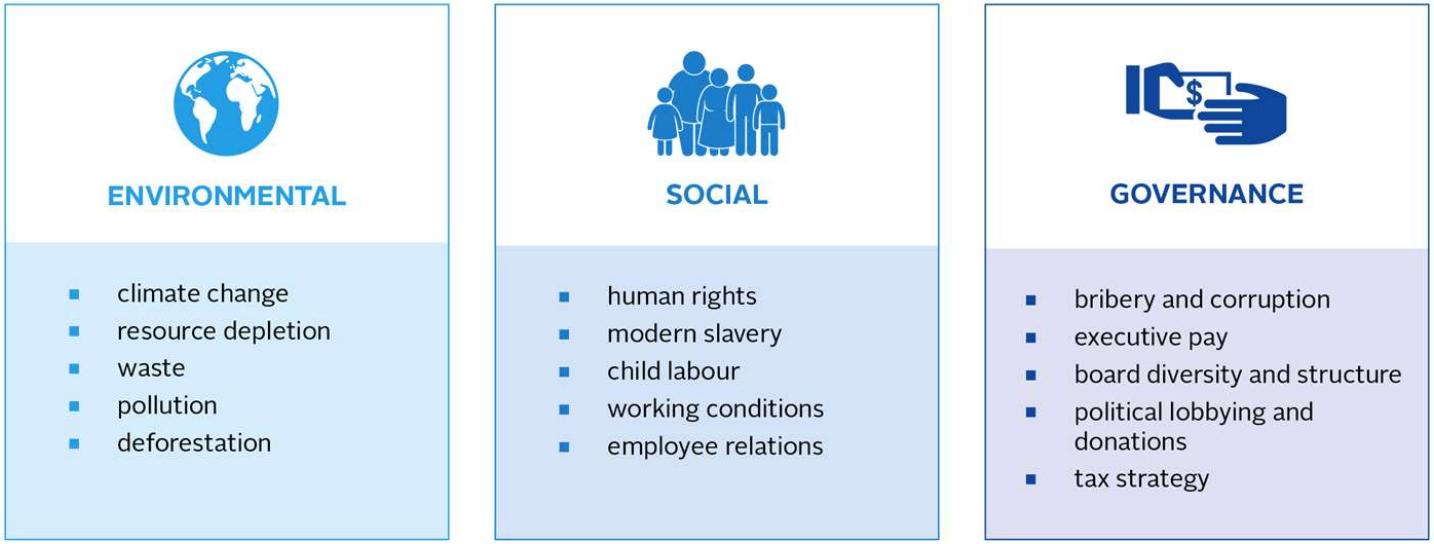
- **Corporate sustainability:**
  - **The integration of environmental, social, and governance (ESG) considerations into a company's strategy, operations, and decision-making processes.**
  - **Aims to create long-term value for stakeholders and minimize harm to the environment and society.**
  - It involves a wide range of initiatives and actions that balance financial performance, social responsibilities, and environmental impact to ensure a company's viability and value creation over the long term.

What is ESG?

- Environmental, Social, and Governance (ESG):
  - Three central factors that investors and companies use to evaluate long-term sustainability and performance.

What is ESG? (cont.)

- Environmental: impact on the environment and management of environmental risks and opportunities.
- Social: impact on society, including relationships with employees, customers, and local communities.
- Governance: A company's management structure, business practices, and ethical behavior.



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4. ESG/sustainability reporting – Should it be regulated?

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Corporate voluntary ESG disclosure

- Today, most public companies and some small- and medium-sized companies publish ESG disclosures.
  - ESG disclosures can take place in various corporate communication channels, such as annual reports, corporate websites, stand-alone ESG reports, and so on.

- **In different markets, in absence of universal formal mandatory rules, ESG disclosures significantly vary** in:
  - Form (presentation, communication channel, reporting frequency, etc.), and
  - Content (scope, topic, text vs. number vs. graphs, quality, etc.).
- Concerns cumulate about the consistency, comparability, truthfulness, and reliability of ESG disclosures.

ESG disclosure debate: Should it be mandated/regulated?

- Should ESG disclosures be mandated/regulated?
- The development, implementation, and enforcement of ESG reporting regulations are a lengthy process, and can be difficult given the various pros and cons.

ESG disclosure debate: Should it be mandated/regulated? – Pros (1/4)

- Better ESG disclosures could improve company **reputations** and customer **satisfaction**:
  - As companies improve their ESG disclosures, if they are informative, they could provide **greater transparency about their sustainability and ethical business practices**. ➔ This enhanced communication could:
    - Foster a stronger corporate reputation, and
    - Positively impact how customers perceive the company.
  - As consumers become more aware of what socially responsible steps a company is taking, especially steps that align with their own values ➔ **Develop more trust in the company's brands and products, and become more devoted customers.**

ESG disclosure debate: Should it be mandated/regulated? – Pros (2/4)

- ESG disclosures could provide **useful and additional information** for investors:
  - Investments in ESG, like other investments, are associated with future cash flows and risks.
  - Standardized ESG disclosures could help the market gain a clearer picture of a company's risks and value ➔ making it possible to compare one company's CSR activities with another's, and helping investors monitor such activities (or lack thereof).
  - Such disclosures, if they are informative, could increase the liquidity of secondary securities markets, just as the usual financial information does ➔ Less uncertainty about firm value can also lower the cost of capital.

ESG disclosure debate: Should it be mandated/regulated? - Pros (3/4)

- ESG disclosures facilitate investors' **monitoring** on managers:
  - A manager can have (personal opportunistic) goals other than maximizing shareholder value.
    - For example, a CEO uses corporate dollars to support a favorite charity even though there is no real benefit to the company for doing so.
  - Managers are unlikely to be forthcoming about such pet projects and any negative impacts unless required, and standardized CSR reporting could bring the activity into the open.
  - Investors who are more informed would have more power to hold managers and companies accountable. ➔ Standardized ESG disclosure helps investors to better monitor managerial behavior, and motivate managers to have more incentive to keep shareholder priorities top of mind.

ESG disclosure debate: Should it be mandated/regulated? - Pros (4/4)

- ESG reporting could help shareholders and other stakeholders drive a company to act in **more responsible and sustainable** ways:
  - Such disclosures could make a company more inclined to behave in an environmentally and socially responsible way. For example:
    - Stop polluting, or to put its investments and purchasing power toward backing companies that use renewable energy or purchase ethically sourced materials.
  - Seeing positive payoffs from such investments, companies would be more motivated to impress stakeholders by proving they are more socially responsible and sustainable than their competitors.

ESG disclosure debate: Should it be mandated/regulated? – Cons (1/4)

- Even within a single industry, business activities and company cultures vary (sometimes very significantly). How **broadly** or specifically should regulations be written?
  - Broad rules make accurate reporting impossible:
    - Because managers would struggle to fully provide what's required.
    - Consequently, managers may not know exactly what data to include or how detailed it should be. Then, ESG disclosures end up incomplete, inconsistent, or difficult to verify.
  - Broad rules also leave more room for managers to hide bad news.
    - A key reason to require CSR disclosures would be to allow the public to see how companies and their activities compare with each other, even if this means some companies will have to release unfavorable information.
    - But if managers think disclosing something is risky or not in a company's best interest, they will have more freedom to avoid disclosing it.

ESG disclosure debate: Should it be mandated/regulated? - Cons (2/4)

- Even within a single industry, business activities and company cultures vary (sometimes very significantly). How broadly or **specifically** should regulations be written?

  - One could respond to the obstacles of broad rules by making disclosure rules very specific — but this has its own challenges.
  - It is difficult for any standard setter to predict and articulate the specific ESG information that will be relevant in the future.
  - Specific rules can backfire by providing companies with an excuse to only disclose what is required by the letter of the law, even if other less favorable disclosures would be more relevant to their stakeholders.

ESG disclosure debate: Should it be mandated/regulated? - Cons (3/4)

- Moving on, let's assume regulations are implemented effectively, with the ideal balance of specificity and broad flexibility.
  - It can be **costly** for companies to compile relevant data, process information, create reports, and hire auditors to verify.
  - This could be especially **costly** for small-sized companies.
    - Smaller companies may lack the personnel, technology, or financial resources to comply efficiently.
    - The cost of third-party audits, new software, and expert consultants can be disproportionately high for them.
    - Regulatory complexity may force them to divert funds from growth-oriented activities to compliance-related expenses.

ESG disclosure debate: Should it be mandated/regulated? - Cons (4/4)

- At companies of all sizes, there are **risks** involved in sharing information:
  - Consumer and activist groups could gain power and voice in influencing ESG standards (e.g. via public pressure and advocacy campaigns, or boycotts and market influence), but their priorities may not always match what investors care about.
    - While these groups prioritize ESG concerns, investors typically focus on financial performance, risk management, and long-term growth. If regulations influenced by activists significantly increase costs and create operational burdens, companies might not have enough cash to stay liquid or engage in normal business operations.
  - Mandatory ESG reporting regime might expose companies to reputation risk and increase potential bad publicity, even when it is outside the control of management.
    - Example: Companies are made to report the types of energy they use. A hurricane damages a company's renewable infrastructure, forcing it to use coal-powered energy. The firm's competitors in other cities or countries are not affected by the hurricane.

ESG disclosure debate: Nothing is perfect

- With these pros and cons in mind:
  - As imperfect as ESG-disclosure regulation and reporting standards may be, it could still be worth creating and mandating them.
  - Very importantly, the details of the requirements, their implementation, and their enforcement would matter greatly.

- Who would make and oversee these rules?
  - Are financial market regulators and financial auditors suitable for making and overseeing CSR disclosure rules?
  - It takes collective efforts of financial experts and sustainability experts!

- There's more to study and discuss before (global) standardized reporting regulations can become a reality. It is important to start this debate and improve ESG disclosure mandate continuously.

Regulatory trends

- After decades of voluntary ESG disclosure failing to translate to substantive ESG performance, ESG disclosure is experiencing a regulation revolution.
- Regulatory groups around the world are trying to improve the state of sustainability reporting. For example:
  - The European Union
  - International Sustainability Standards Board (ISSB)
  - Etc…
- Ultimately, if informative sustainability reporting is to become widespread, it is necessary to:
  - Mandate such reporting practices with high-quality regulations, and
  - Impose such regulations with proper enforcement.

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5. Corporate Sustainability Reporting Directive (CSRD) in the EU

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Background & History

- In April 2021, the Commission adopted a proposal for a Corporate Sustainability Reporting Directive (CSRD).

- In November 2022, the European Council approved the adoption of the CSRD.
  - This represents a significant shift by the EU towards a sustainable economy with increased corporate accountability and places financial and sustainability reporting on an equal footing.

- In January 2023, the CSRD entered into force.
  - This new directive modernizes and strengthens the rules concerning the ESG information that companies have to report.

Background & History (cont.)

- The new rules under CSRD aim to ensure:
  - Investors and other stakeholders have access to the information they need in order to assess the impact of companies on people and the environment.
  - Investors have access to the information they need in order to assess companies' financial risks and opportunities arising from climate change and other sustainability issues.

Corporate Sustainability Reporting Directive (CSRD) – Foundations

- **Double materiality:**
  - Identifying all potential negative and positive impacts on people and environment, from the company's own operations and its value chain. Materiality is assessed from a financial and impact perspective.
  - The CSRD incorporates the concept of 'double materiality'. This means that **companies have to report not only on how sustainability issues might create financial risks for the company (financial materiality), but also on the company's own impacts on people and the environment (impact materiality).**
  - Investors are increasingly interested in both sides of this equation. This is partly as a result of the growing market for sustainable investment products.
  - Other stakeholders, including civil society organisations and trade unions, expect a transparent and objective account of a company's impact on issues such as biodiversity, climate change or human rights.

Corporate Sustainability Reporting Directive (CSRD) – Foundations (cont.)

- Boundary:
  - A company's reporting boundary has expanded to include the entire value chain in measuring and reporting social and environmental impact. This covers all suppliers, both upstream and downstream.
- Sustainability strategy and business model:
  - Companies are required to set a strategy to respond to these matters, and disclose the business model's resilience towards sustainability-related risks and climate scenarios.
- Coverage Scope:
  - Large EU companies & Non-EU companies with significant operations within the EU must comply with the CSRD.

Corporate Sustainability Reporting Directive (CSRD) – Reporting Standards: ESRS

- There is ample evidence that the sustainability information that companies currently report is not sufficient.
- That is why, in line with the CSRD, which outlines the obligation for companies to use standards to fulfil their legal sustainability reporting obligations, the European Commission is adopting common standards which will help companies to communicate and manage their sustainability performance more efficiently and therefore to have better access to sustainable finance.

- Companies subject to the CSRD will have to report according to **European Sustainability Reporting Standards (ESRS)**.

European Sustainability Reporting Standards (ESRS): Overview

- ESRS were developed by the EFRAG (European Financial Reporting Advisory Group), an independent body bringing together various different stakeholders.

- The European Sustainability Reporting Standards (ESRS) are a set of mandatory sustainability reporting standards.
  - These standards define how companies must disclose ESG information in a structured, comparable, and standardized manner.

- The ESRS take a "double materiality" perspective:
  - They oblige companies to **report both on their impacts on people and the environment, and on how social and environmental issues create financial risks and opportunities for the company.**

European Sustainability Reporting Standards (ESRS): Expected Outcomes

- Expected Outcomes:
  - Help companies to reduce reporting costs in the medium and long term, by avoiding the use of multiple voluntary standards as this is the case today.
  - Currently, problems in the quality of sustainability reporting create an accountability gap.
  - High quality and reliable public reporting by companies will help create a culture of greater public accountability.
  - Meet information users' demand:
    - Consistency, comparability, reliability.

THIS SLIDE IS NOT ASSESSED IN THE EXAM

European Sustainability Reporting Standards (ESRS): Detailed Requirements

- ESRS covers the full range of sustainability issues:

Group	Number	Subject
Cross-cutting	ESRS 1	General Requirements
Cross-cutting	ESRS 2	General Disclosures
Environment	ESRS E1	Climate
Environment	ESRS E2	Pollution
Environment	ESRS E3	Water and marine resources
Environment	ESRS E4	Biodiversity and ecosystems
Environment	ESRS E5	Resource use and circular economy

Group	Number	Subject
Social	ESRS S1	Own workforce
Social	ESRS S2	Workers in the value chain
Social	ESRS S3	Affected communities
Social	ESRS S4	Consumers and end users
Governance	ESRS G1	Business conduct

European Sustainability Reporting Standards (ESRS): Detailed Requirements (cont.)

- ESRS 1 ("General Requirements") sets **general principles** to be applied when reporting according to ESRS.

- ESRS 2 ("General Disclosures") specifies **essential information** to be disclosed irrespective of which sustainability matter is being considered.
  - ESRS 2 is mandatory for all companies under the CSRD scope.

- All the other standards and the individual disclosure requirements and datapoints within them are subject to a **materiality assessment.**
  - In other words: Companies will report only relevant/significant ("material") information and may omit the information in question that is not relevant/significant ("not material") for its business model and activities.

Corporate Sustainability Reporting Directive (CSRD) – Other requirements

Assurance

- Mandatory requirement for review of disclosures and assurance by a statutory auditor or independent assurance services provider. Assurance needs to declare that there has been no material misstatement in company's disclosures.

Digital Tagging

- Requirement to prepare annual financial reports in XHTML format and mark sustainability information in financial statements and management reports with a digital 'tag':
  - The information will be structured and machine readable.

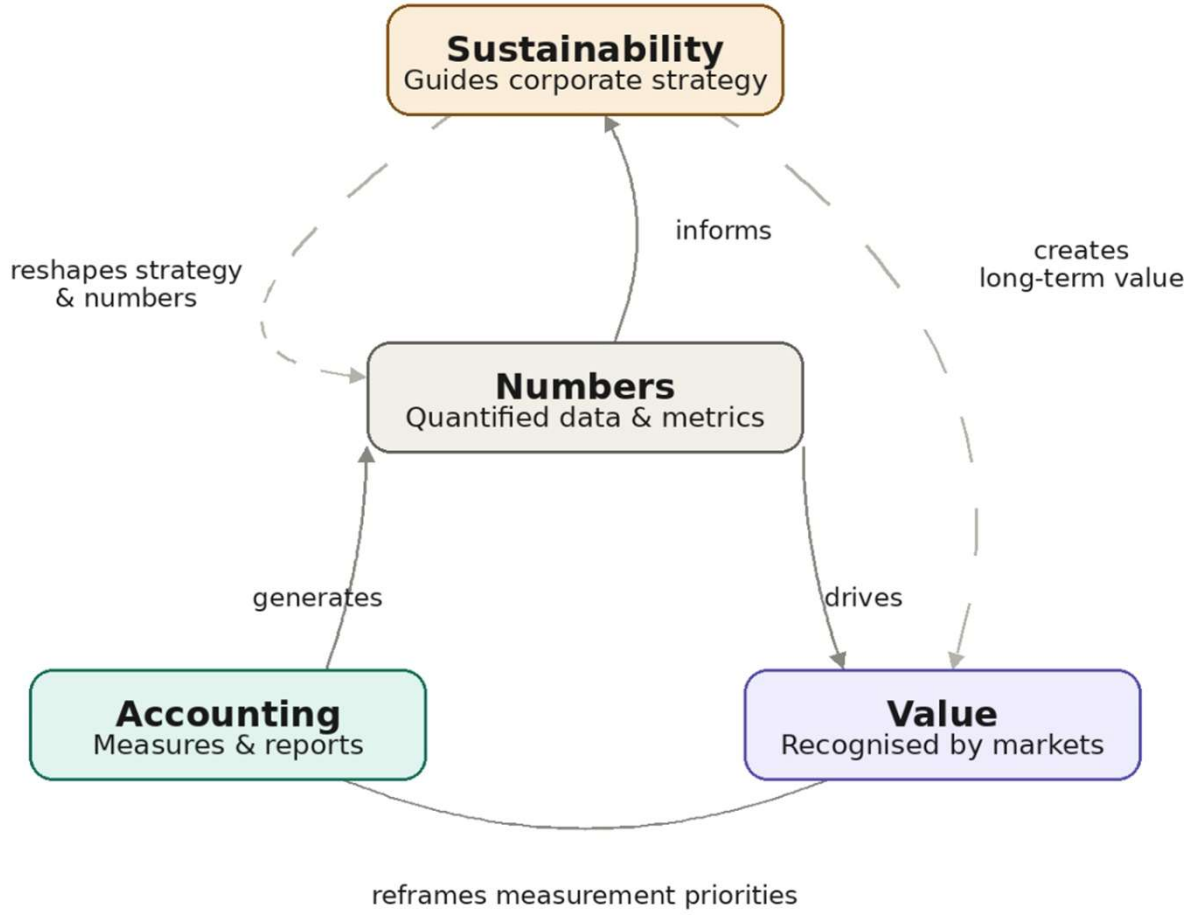
Corporate Sustainability Reporting Directive (CSRD) – Implications for Companies

- **Companies will need to assess their reporting strategies in light of the CSRD**. They need to develop structures and mechanisms to:
  - Collect and monitor relevant, verifiable data and performance measures;
  - Disclose relevant information in a transparent and efficient manner backed by an independent assurance.

- Managers, stakeholders, scholars, and each one of you studying this course should be interested in monitoring the CSRD as it gradually comes into force.

6. Conclusion

Sustainability, Accounting, and "the Value" of a Company: A Reinforcing Loop



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Direct relationship Strategic / indirect link

Combining Financial Reporting with Sustainability Reporting

- **Thus, to calculate "the value" of a company for all stakeholders, a full valuation process must consider:**
  - **accounting, financial information, and**
  - **non-financial information and communication with stakeholders.**

- In the future, skills related to financial analysis and corporate valuation will increasingly incorporate knowledge and expertise on sustainability reporting and the utilization of non-financial information.

- Implications for you: Understanding on sustainability reporting will enhance your position as an expert on finance, economics, and accounting.

If you are interested in learning more about corporate sustainability, ESG and the related corporate communication practices, check out this elective course:

30598 - SUSTAINABILITY AND CORPORATE COMMUNICATION

(link)

(Note: This elective course has no maths. It gives you a comprehensive introduction to the diversity of sustainability-related corporate communication issues.)

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